EXECUTIVE SUMMARY

A. Introduction

Cabug was the former name of Enrile when it was one among the barrios of Tuguegarao. It was established as a separate town in September 1841 and was named in honor of Governor Pascual Enrile, who was the prime mover for the construction of roads in Northern Luzon. This 3rd class Municipality produces rice, corn, tobacco, peanuts and sugar cane. As the major source of peanuts in the country, the LGU was tagged as the "Peanut Capital of the Philippines" last 2015.

The audit covered the accounts and operations of the Municipal Government of Enrile, Cagayan for the year 2023 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

The Audit Team performed post-audit of collections and disbursements and examination of cash and accounts of accountable officers, conducted interviews and walkthroughs, review and analysis of financial statements and related accounting records, reviewed performance of implemented programs and projects and performed any other audit procedures as it may deem necessary.

B. Scope and Audit Objectives

The scope of the audit covers the period ending December 31, 2023.

The objective of the audit is to determine whether the resources of LGU – Enrile, Cagayan have been managed, expended or utilized in accordance with existing laws, rules and regulations, and safeguarded against loss or wastage through illegal or improper disposition, with a view to ensuring efficiency, economy and effectiveness in the operations of government. The audit also aims to allow the Audit Team to render an opinion on the fairness of the financial statements of the LGU.

C. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipal Government of Enrile, Cagayan for the year ended December 31, 2023, with comparative figures for CY 2022, are as follows:

Accounts	2023	2022	Increase/ (Decrease)
Assets	₱460,096,994.01	₱438,020,094.68	₱22,076,899.33
Liabilities	78,061,465.49	107,211,590.96	(29,150,125.47)
Government Equity	382,035,528.52	330,808,503.72	51,227,024.80

Accounts	2023	2022	Increase/ (Decrease)
Income	301,517,992.52	234,011,570.97	67,506,421.55
Expense	257,331,940.98	181,732,561.87	75,599,379.11
Net Income	44,186,051.54	52,279,009.10	(8,092,957.56)
Appropriation	280,146,928.26	385,620,388.15	(105,473,459.89)
Obligation	241,391,024.75	227,894,135.42	13,496,889.33

D. Operational Highlights

The following programs, projects and activities charged under the different sources of the fund of the Municipal Government of Enrile, Cagayan were completed in CY 2023:

Programs, Projects and Activities	Amount
Design and Build Scheme Contract for the Construction / Expansion of Enrile Municipal Waters System Zone 3 (Phase I)	₱26,850,810.00
Construction of Perimeter Fence to Secure Municipal Center	10,000,000.00
Construction of National Childcare Development Center	2493309.26
Roofing of 2nd Floor Terrace (Rear Terrace) - Municipal Center, Enrile, Cagayan	1,615,000.00
Construction of Box Culvert - Roma Norte-Allam-Batu Road	740,341.81
Construction of Drainage Canal and Box Culvert	5,623,768.77
Construction of Two Classroom School Buildings	1,277,822.40
Improvement of Municipal Hall Building: Installation of Roofing of Second and Third Floor Terraces Municipal Center, Enrile, Cagayan	3,075,000.00
Installation of LED Solar Street Lights Along Santiago-Tuguegarao Road	12,349,633.00
Installation of Digital Electronics Siren with PA Early Warning System with Public Address (PA)	5,690,000.00
Promotion of Local Tourism	2,128,000.00
Acquisition of One Unit Multi-Purpose Vehicle	1,283,000.00
Supply and Delivery of 4x4 Rescue Vehicle	2,175,000.00
Supply and Delivery of Brand New Manlift Truck	5,246,010.00
Supply and Delivery of Communication Equipment	634,777.00
Supply and Delivery of IT Equipment	1,722,000.00
Supply and Delivery of Remote Rainfall and Water Level Monitoring System	1,160,000.00
Total	**₱84,064,472.24**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the presentation of the financial statements of the Municipal Government of Enrile, Cagayan as of December 31, 2023 due to the following:

1. Reconciling items from previous years totaling ₱1.123 million remained unadjusted in the books of accounts of the Municipality contrary to Section 74 of Presidential Decree (PD) No. 1445 and Sections 3.1, 3.2 and 3.3 of COA Circular No. 96-011 dated October 2, 1996; thus, affecting the fair presentation of the Cash in Bank – LCCA amounting to ₱56.853 million in the Statement of Financial Position as of December 31, 2023;

2. Component items of the PPE totaling ₱16.288 million were misclassified into different accounts in the books of the Municipality contrary to the Revised Chart of Accounts for Local Government Units (LGUs) prescribed under COA Circular No. 2015-009 dated December 1, 2015; consequently, affecting the fair presentation of the PPE accounts in the financial statements of the Municipality as of December 31, 2023;

3. Properties with total net book values of ₱4.861 million are recorded in the books of accounts of the Municipality instead of these being transferred to the recipient Barangays in consonance with Paragraph 14 of IPSAS 17 – PPE; and

4. Significant part/improvements of the existing municipal hall building totaling ₱20.520 million, which, by their nature, could not be utilized independently from the latter are depreciated separately from the main asset, contrary to Section 61 of the IPSAS 17 – PPE and consequently understating Depreciation Expense and Accumulated Depreciation accounts by ₱0.219 million.

F. Summary of Significant Observations and Recommendations

1. **The Municipality was unable to fully implement ten (10) PPAs amounting to ₱28.749 million or 49.13 percent of the total available 20% DF appropriations, contrary to Section 5.0 of DILG-DBM Joint Memorandum Circular (JMC) No. 2017-1 dated February 22, 2017 and DBM-DOF-DILG JMC No. 1 dated November 4, 2022; thus, the intended beneficiaries were deprived of the benefits that they could have derived from the timely and optimal utilization thereof.**

   We recommended that the Management, through the Municipal Planning and Development Coordinator (MPDC), judicially plan and evaluate the Municipal Government's PPAs for each budget year to properly identify priority development projects that can be implemented during the year through efficient planning and procurement activities to mitigate, if not totally prevent, delays in the implementation of projects pursuant to relevant provisions of DBM-DOF-DILG JMC No. 1 dated November 4, 2020 and Section 5.0 of DILG-DBM JMC No 2011-1 dated April 13, 2011.

Moreover, we recommended the Management to expedite the full implementation of all PPAs identified herein to optimize the utilization of the 20% Development Fund as mandated under DILG-DBM JMC No. 2017-1 dated February 22, 2017 to provide the benefits intended for these PPAs to its beneficiaries.

2. **A project with a total amount of ₱2.100 million under the CY 2023 20% DF was presented as a lump sum appropriation and subsequent charges thereto totaling ₱2.099 million were not supported with prior approval from the Sangguniang Bayan, contrary to Article 454(d) of the IRR of RA No. 7160 and Section 4 (1) of PD No. 1445; hence, questions may be raised on the propriety, validity and legality of the said disbursements.**

   We recommended that the Management:

   (a) through the Municipal Development Council, specify the details of the identified priority Programs, Projects and Activities to be charged under the 20% Development Fund including project locations, specific implementation schedules, and physical targets pursuant to Article 454(d) of the Implementing Rules and Regulations of Local Government Code of 1991 (RA 7160) and Section 4 (1) of Presidential Decree (PD) No. 1445; and

   (b) where specific/itemized details of the project could not be identified during the budget preparation, seek the approval of the Local Sanggunian before the implementation of a specific project charged, in compliance with pertinent rules and regulations.

3. **Consolidation of procurements totaling ₱3.177 million was not made for transactions which could have been subjected to public bidding instead of small value procurement, contrary to relevant provisions of the 2016 Revised Implementing Rules and Regulations (IRR) of Republic Act (RA) No. 9184; thus, the objective of promoting competitiveness in the procurement process was not attained.**

   We recommended that the Management, through the Bids and Awards Committee (BAC), strictly observe relevant provisions of the 2016 Revised IRR of RA No. 9184, particularly on the consolidation of procurements, to allow the Municipality to negotiate better deals with suppliers through bulk purchasing and avail of discounts and savings.

4. **Daily deposit of collections is not being observed by the Municipal Treasurer contrary to Section 2 of PD No. 1445 and Section 88 (A), Book II of the Local Treasury Operations Manual (LTOM) 2nd Edition; hence, the incurrence of material balances of undeposited cash collections which consequently exposed funds to the risk of loss through theft or misappropriation.**

We recommended the Management to require the Municipal Treasurer to strictly observe the daily deposit of collections with the AGDB in accordance with Section 2 of PD No. 1445 and Section 88 (A), Book II of the LTOM 2nd Edition to prevent the accumulation of material balances of undeposited cash collections.

5. **The BAC did not submit the Municipality's APP, Procurement Monitoring Reports (PMRs), and Agency Procurement Compliance and Performance Indicator (APCPI) Results to the Government Procurement Policy Board (GPPB), contrary to relevant provisions of GPPB Circular No. 02-2020 dated May 20, 2020; thereby, exposing the Municipality to the risk of possible sanctions and will adversely affect their performance.**

   We recommended that the Management instruct the BAC to comply with the requirement on the submission of APPs, PMRs, and APCPI Results to the GPPB pursuant to applicable provisions of GPPB Circular No. 02-2020 dated May 20, 2020, in order to enable the Municipality to achieve its performance targets and to avert any risk of possible sanctions due to such non-compliance.

G. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions:					
Prior Years	12,494,613.19	1,422,582.20	147,582.20	13,769,613.19	1.06%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	**12,494,613.19**	**0.00**	**0.00**	**12,494,613.19**	**0.00%**
Disallowances:					
Prior Years	12,321,981.04	33,600.00	0.00	12,366,455.04	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	**12,321,981.04**	**0.00**	**0.00**	**12,321,981.04**	**0.00%**
Charges:					
Prior Years	0.00	0.00	0.00	0.00	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	**0.00**	**0.00**	**0.00**	**0.00**	**0.00%**

The 160 Notices of Disallowance issued in CY 2020 totaling P9,065,242.01 are currently under appeal with the Commission on Audit.

H. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in the 2022 Annual Audit Report are summarized as follows:

Implemented	30
Not implemented	6
Not implemented and reiterated in CY 2022 AAR	3
Total	**39**